FIN-002 · Personal finance

# Debt payoff comparison

Replace the sample figures before you rely on the result.

This workbook does not restructure debt and it does not contact a credit provider. It shows the cost of keeping three sample balances, and what changes if R1,500 extra goes onto the store card because that card has the highest rate.

## How to use the workbook

1. List each debt's current balance, annual interest rate, and required minimum.
2. Put only money you can pay after the minimums into Extra payment.
3. Read Calc. Months at minimum assume the payment never changes and no new spending is added.
4. The avalanche row puts the extra onto the store card. If you prefer the smallest balance first, add the extra to the family loan yourself and replace the last formula's debt references.

## Worked example

Store card interest in the sample is R155.83 this month.

- The personal loan interest is R408.33 this month.
- At R450 a month the store card estimate is about 23.4 months.
- Putting the extra R1,500 on that card shortens the estimate to about 4.6 months. That is not a settlement quote.

## A practical routine

- Once a month, replace balances with the statement balance.
- If a provider changes the minimum or the rate, change that cell before you trust the months figure.
- If you miss a payment, stop using the estimate and read the statement.

*This workbook organises figures you type in. It is not financial, credit, insurance, or tax advice. Rates, fees, and laws change. A qualified adviser should review decisions that affect debt, tax, medical cover, or retirement.*